

CURRENT AFFAIRS

WEDNESDAY

09

SEPTEMBER 2026

Facts
Today
for a Brighter
Tomorrow

DAILY DIGEST

KEY DEVELOPMENTS | BIGGER PICTURE | A MORE INFORMED YOU



POLITY &
GOVERNANCE



Governance
Reforms, Policies
and Institutions



ECONOMY



Markets, Industry,
Trade and
Growth Trends



INTERNATIONAL
RELATIONS



Global Developments,
Strategic Partnerships
and Geopolitics



ENVIRONMENT



Climate Action,
Biodiversity and
Sustainable Development



SCIENCE &
TECHNOLOGY



Innovation,
Research and
a Brighter Future



AGRICULTURE



Farming, Food Security
and Rural Development



GEOGRAPHY



Places, People
and the Changing
World



MISCELLANEOUS



People, Society,
Health, Education,
Culture and More

A MORE INFORMED
A BRIGHTER TOMORROW



KHARIF SOWING 2026

PADDY AREA DOWN 4%

AS MONSOON DEFICIT BITES

Uneven rainfall leads to lower paddy area, raises yield risks for pulses and oilseeds, but large rice stocks provide a buffer.

WHAT HAPPENED?



PADDY AREA (2026)

42.18 million hectares
↓ 4% (year-on-year)



TOTAL KHARIF AREA

108.63 million hectares
↓ 1.6% (year-on-year)



Deficient and uneven monsoon rainfall is a key factor behind the lower paddy area and overall kharif sowing.

CROP PICTURE (AREA UNDER SOWING)



PULSES

11.71 million hectares
↑ Increased (year-on-year)



OILSEEDS

19.19 million hectares
↓ Slightly lower (year-on-year)

Area coverage does not equal final production. Yields depend on rainfall distribution, irrigation, pests and weather during crop development.

MONSOON → AGRICULTURE LINK



Rainfall affects sowing timing, soil moisture, reservoir recharge and crop yields.



Uneven spatial and temporal distribution can be as important as the all-India seasonal total.



A ~14.4% monsoon rainfall deficit has been reported, with uneven spread across regions.

FOOD SECURITY BUFFER

70.86 million tonnes

Government's kharif paddy procurement target (2026).



Large public rice stocks can cushion near-term supply risk. Procurement and buffer stocks support the food-security system.

PRELIMS FACTS

- Kharif crops are generally sown with the southwest monsoon and harvested in autumn.
- Major kharif crops: rice, maize, cotton, soybean, groundnut and several pulses.
- MSP is announced before sowing seasons for notified crops.
- FCI maintains central pool foodgrain stocks.

MAINS ANGLE



Climate-resilient agriculture requires:

- Irrigation efficiency
- Drought-tolerant varieties
- Crop diversification
- Better weather advisories
- Water budgeting
- Region-specific cropping choices

WATCH NEXT



Monsoon distribution



Reservoir levels



Crop yields



Food inflation



Procurement arrivals



9 SEPT 2026

HEALTHY CHILDREN
HEALTHY FAMILIES
A BRIGHTER INDIA



NOURISHED
COMMUNITIES
STRONGER
TOMORROWS

9th RASHTRIYA POSHAN MAAH 2026

NUTRITION THROUGH COMMUNITY ACTION

Sahi
Poshan
Saksham
Bharat

India launches the ninth Rashtriya Poshan Maah on 9 September 2026 in Varanasi. Observed every September since 2018, this month-long campaign mobilises communities around nutrition, health and caregiving behaviours.



WHAT IS POSHAN MAAH?

- Annual September campaign for nutrition awareness and behaviour change
- Mobilises communities at the grassroots
- 9th edition in 2026



WHO IS AT THE CENTRE?

- Pregnant women
- Lactating mothers
- Children (0–6 years)
- Adolescents
- Families
- Anganwadi Centres as frontline community institutions



CORE THEMES

- Balanced and protein-rich diets
- Maternal nutrition
- Infant and young child feeding
- Growth monitoring
- Hygiene and healthy practices



POLICY ECOSYSTEM

- POSHAN Abhiyaan launched in 2018
- Mission Saksham Anganwadi & Poshan 2.0 integrates nutrition support, early childhood care and Anganwadi strengthening
- Ministry of Women and Child Development is the nodal Union ministry



PRELIMS FACTS

- Anganwadi Services originated under ICDS
- Frontline workers include Anganwadi Workers and Helpers
- Nutrition outcomes require convergence across health, sanitation, drinking water and food systems



MEASURE PROGRESS

- Stunting (low height for age)
- Wasting (low weight for height)
- Underweight (low weight for age)
- Anaemia (across age groups)



MAINS ANGLE

Malnutrition is multidimensional: food quality and diversity, maternal health, sanitation, disease burden, women's agency, household income and effective last-mile delivery all matter.

BETTER NUTRITION → BETTER LEARNING → STRONGER HUMAN CAPITAL

India's Semiconductor Mission

6 New Projects Approved on 9 September 2026

A major boost to India's chip manufacturing ecosystem, adding ~₹1.6 lakh crore in investment and strengthening the goal of a self-reliant electronics supply chain.



6 PROJECTS AT A GLANCE



Total investment
~₹1.6 lakh crore



Expected direct jobs
~7,000

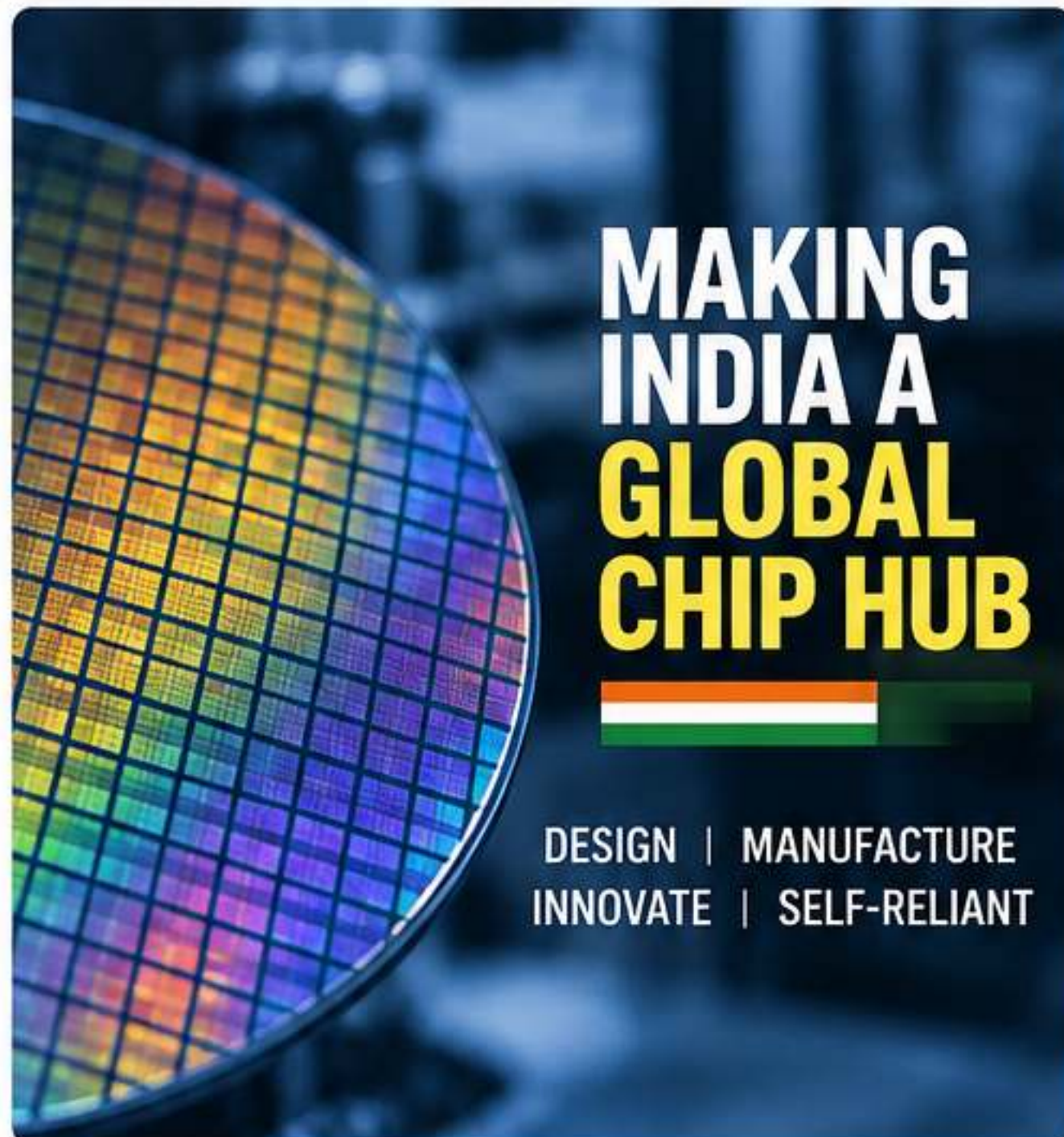


Indirect jobs
~34,000



Spread across
5 states

(Andhra Pradesh, Gujarat, Karnataka, Punjab and Uttar Pradesh)



DESIGN | MANUFACTURE
INNOVATE | SELF-RELIANT

WHAT WILL BE SET UP?



Semiconductor fabs (2 projects)

Manufacturing of chips for a wide range of applications



ATMP units (3 projects)

Assembly, Testing, Marking and Packaging



Compound semiconductor unit (1 project)

For next-generation electronics, high-power and high-frequency devices



Focus areas

- Consumer electronics
- Automotive
- Industrial electronics
- Telecom and 5G/6G
- AI and high-performance computing

PART OF A LARGER VISION



- Under the India Semiconductor Mission (ISM)
- Aims to build a resilient and self-reliant semiconductor ecosystem
- Attracts global and domestic investment
- Supports India's growing electronics manufacturing and digital economy

RECENT MILESTONES



- With these 6 projects, total approved projects under ISM now **10**
- Cumulative investment: **~₹1.76 lakh crore**
- Positions India as a key player in the global semiconductor value chain

SEMICONDUCTORS
POWER A **SMARTER,**
STRONGER, SELF-RELIANT INDIA



FCI MODERNISATION 2026-27

OUTCOME-BASED FOODGRAIN MANAGEMENT

Stronger Systems | Safer Food | A More Food-Secure India

9 SEPT 2026

From
Grain Security
to a Stronger
Tomorrow

WHAT CHANGED?

Department of Food and Public Distribution (DFPD) and Food Corporation of India (FCI) signed an MoU for **FY 2026-27**, creating an **outcome-oriented performance framework** with defined annual targets for FCI to improve operational efficiency, accountability and modernisation in foodgrain management.



SIX PRIORITY AREAS



Reduce
storage
losses



Optimise
warehouse
capacity



Improve
logistics and
supply chains



Strengthen
quality
control



Digitise business
processes and
monitoring



Train personnel
for modern
systems

FCI IN INDIA'S FOOD SECURITY SYSTEM



Procures foodgrains at **MSP**
operations as assigned by government



Maintains **Central Pool** stocks



Stores and moves foodgrains
across India



Supplies grain for the **Public
Distribution System** and other
welfare schemes

POLICY LINKAGES



National Food Security Act, 2013
provides legal entitlements to subsidised
foodgrains for eligible beneficiaries



Central Pool stocks support
distribution and food-security
management



Buffer norms help ensure operational
and strategic availability

WHY MODERNISATION MATTERS

- ✓ Lower wastage and better grain preservation
- ✓ Better inventory visibility
- ✓ Faster movement from surplus to deficit regions
- ✓ Improved grain quality and food safety
- ✓ Lower carrying and logistics costs
- ✓ Greater transparency and accountability

PRELIMS FACTS

- FCI was established in **1965** under the **Food Corporations Act, 1964**.
- Administrative ministry: **Ministry of Consumer Affairs, Food and Public Distribution**.
- DFPD** is a department under that ministry.

MANS ANGLE

Food security depends not only on production and procurement but also efficient storage, scientific handling, logistics, digital traceability, fiscal sustainability and timely last-mile delivery.

RUPEE BREACHES ₹95/\$

OIL SHOCK TESTS INDIA'S EXTERNAL STABILITY

Rupee weakens past 95 per dollar as crude prices surge and global uncertainty deepens.

WHAT HAPPENED?



- Indian rupee breached ₹95 per US dollar, touching about 95.2250 on 9 Sept 2026.



- Brent crude moved towards \$100 per barrel amid escalating Middle East tensions and supply-disruption fears.



- Rupee was the worst-performing Asian currency during the session.



- RBI is understood to have intervened in the forex market, but external dollar demand and oil pressures overwhelmed support.

RBI'S TOOLKIT



Forex-market intervention using reserves to manage volatility.



Liquidity management and monetary-policy signalling.



RBI generally manages excessive volatility rather than defending a permanently fixed exchange rate.

PRELIMS FACTS

- India follows a market-determined exchange-rate system with RBI intervention (to manage excessive volatility).
- Forex reserves include foreign currency assets, gold, SDRs and India's reserve position with the IMF.
- The current account (CAD) is a component of the Balance of Payments (BoP).

MAINS ANGLE

- Greater resilience requires diversified energy sources and higher domestic renewable capacity.
- Prudent external borrowing and adequate forex buffers.
- Competitive exports to strengthen the current account.
- A credible and consistent macroeconomic policy framework is essential.

WATCH NEXT

- Brent crude price trend
- RBI intervention
- Forex reserves level
- Current-account deficit (CAD)
- Imported inflation data



WHY OIL HITS THE RUPEE?



India imports around 85% of its crude oil needs.



Higher oil prices increase the import bill and demand for dollars.



This can widen the current-account deficit (CAD) and put pressure on the rupee.



Rupee depreciation can make imports costlier and feed into domestic inflation.

EXTERNAL-SECTOR CHAIN



INDIA'S SPONGE IRON PRICES HIT 2-YEAR HIGH

COAL SUPPLY SHOCK HITS STEEL CHAIN

HIGHER COAL COSTS.
TIGHTER SUPPLY.
BIGGER IMPACT.



WHAT HAPPENED?

India's benchmark sponge iron price reached about **₹29,700 per tonne** in August 2026, its **highest in two years**, as imported coal became more expensive and domestic coal availability tightened.

WHAT IS SPONGE IRON?

Sponge iron, or Direct Reduced Iron (DRI), is made by reducing iron ore below its melting point. It is an important feedstock for **secondary steelmaking**, especially in electric and induction furnaces.

Solid-state reduction (rather than melting) makes it different from pig iron produced in a blast furnace.



WHY COAL MATTERS

- Many Indian DRI plants use **non-coking coal** as a reducing agent and fuel.
- Imported coal costs have risen due to higher freight and insurance costs amid Middle East tensions.
- Domestic coal supply tightened as coal was prioritised for power generation during high summer demand.
- Monsoon rains also disrupted mining operations and rail logistics.

INDIA'S POSITION

India is the world's largest sponge iron producer, with about **336 plants** producing around **50 million tonnes** annually.



ECONOMIC TRANSMISSION



ENERGY-INDUSTRY TRADE-OFF

Prioritising coal for electricity security can tighten industrial supply, highlighting the challenge of balancing power demand with the needs of steel and other industries. It also underscores the need for better logistics and fuel diversification.



PRELIMS FACTS

- ✓ Coking coal is mainly used in blast-furnace steelmaking.
- ✓ Non-coking coal can be used in coal-based DRI.
- ✓ DRI uses solid-state reduction, unlike pig iron produced through melting in a blast furnace.

MAINS ANGLE

Resilient steel supply chains need better domestic coal logistics, energy efficiency, gas and green-hydrogen DRI pathways, recycling and lower-carbon production while maintaining affordable industrial inputs.



WATCH NEXT



Coal imports



Rail availability



Steel prices



Power demand



Green-hydrogen DRI

ENERGY INPUTS →
INDUSTRIAL COSTS →
INFRASTRUCTURE & MANUFACTURING



SUGAR SUPPLY POLICY

DUTY-FREE RAW SUGAR IMPORTS & EARLY CRUSHING

STABLE SUPPLY
FOR A SWEETER
TOMORROW

Government allows duty-free imports of 1 million tonnes of raw sugar and asks mills to start crushing on 15 October to cool record-high domestic prices.

WHAT CHANGED?



Duty-free raw sugar import quota: **1 million tonnes**



Port refineries can seek quota to sell refined sugar domestically



Around **250,000 tonnes** of quota applications expected from refineries



Sugar mills asked to start crushing on **15 October**, nearly a month earlier than usual

WHY GOVERNMENT INTERVENED



Record-high domestic sugar prices



Rising demand during festival season



Need to augment near-term supply



Moderate food inflation

HOW THE SUPPLY CHAIN WORKS



Imports can supplement domestic output when supplies are tight.

SUGAR POLICY TOOLKIT



Import duties / quotas



Export controls



Monthly release mechanisms



Crushing-season timing



Ethanol diversion policy
(from sugarcane/ molasses)



Stock monitoring and buffer management

ECONOMY LINK



Sugar prices affect food inflation (CPI).



Sugarcane supports farm incomes and rural employment.



Diversion to ethanol creates a food-versus-fuel allocation trade-off.

PRELIMS FACTS



Sugarcane is a long-duration tropical/subtropical crop.



Major producing states: Uttar Pradesh, Maharashtra and Karnataka.



India is among the world's largest sugar producers and consumers.



Ethanol can be produced from sugarcane juice, B-heavy molasses and other feedstocks (subject to policy).

MAINS ANGLE



A stable sugar policy requires balancing consumer prices, farmer cane dues, mill viability, ethanol blending, water use and predictable trade policy.



WATCH NEXT

- Retail sugar prices
- Import arrivals and domestic offtake
- Progress of October crushing
- Cane output estimates
- Ethanol allocation decisions

FROM FIELDS TO MARKETS
A STRONGER, MORE RESILIENT
SUGAR ECOSYSTEM

FARM INCOME ↔ FOOD PRICES ↔ ETHANOL ↔ TRADE POLICY

FRONT-OF-PACK FOOD

WARNING LABELS

INDUSTRY CHALLENGES

FSSAI PLAN IN SUPREME COURT

Health warnings on packaged foods are now at the centre of a major legal and policy debate in India.

SUPREME COURT

TO REVIEW

LABELLING PROPOSAL

WHAT HAPPENED?

- India’s packaged-food industry has filed its first major legal objection to the government’s proposed front-of-pack warning-label system.
 - The Supreme Court will review the matter.

PROPOSED LABEL SYSTEM

- Red hexagon warning on the front of pack.
 - Triggered when a product exceeds limits in at least two of three categories:



ADDED SUGAR



SALT



SATURATED FAT



GOVERNANCE FRAMEWORK

- FSSAI sets food-safety and labelling standards under the Food Safety and Standards Act, 2006.
 - Ministry of Health & Family Welfare is the administrative ministry.
 - Courts can review whether regulations comply with constitutional and statutory requirements.

FOOD SAFETY

AND STANDARDS

ACT, 2006

PUBLIC HEALTH LOGIC

- Clearer front-of-pack warnings can help consumers identify products high in salt, sugar and saturated fat.
 - Linked to obesity, diabetes, hypertension and other non-communicable disease risks.



HEALTHIER FOOD ENVIRONMENTS
CAN REDUCE NCD BURDEN

INDUSTRY’S ARGUMENT

- Proposed thresholds may be overly stringent.
 - Seeks a per-serving approach rather than per-100-gram thresholds.
 - Concern that broad warning coverage could affect many products.



PRELIMS FACTS

- FSSAI is a statutory body under the Food Safety and Standards Act, 2006.
 - Food labelling is a regulatory tool for consumer information.
 - NCD prevention involves diet, physical activity and public-health regulation.



MAINS ANGLE

Effective food regulation must balance consumer right to information, public-health goals, scientific evidence, regulatory certainty and proportional compliance costs.

- WATCH NEXT

 - Supreme Court observations
 - Final FSSAI thresholds

- Implementation timeline
 - Industry compliance rules